October 2024

Financial Contribution Agreement between the Federal Government of Belgium and Kampani NV

Final report on the project:

"Fighting extreme poverty amongst smallholders by making proposals investment ready and de-risking investments"

Background

This report presents the results achieved in the framework of the project: "Fighting extreme poverty amongst smallholders by making proposals investment ready and de-risking investments", which started in 2021 and runs for a period of 3 years. In 2021, Kampani - a social impact investment fund investing in cooperatives or SMEs in selected countries in Africa, Asia and Latin-America using equity or subordinated debt - was allocated subsidies by the DGD to run the above-mentioned project.

As stated in the initial agreement, the subsidies allocated amount to a total of **900.000 EUR** and are to be distributed in **3 instalments** (article 2.4). Upon receipt of a **final report**, including an impact report, a financial report and a declaration of claim, the last instalment – amounting to 180.000 EUR – will be disbursed to Kampani.

To recall, the subsidies allocated are to be used for the following purposes:

A) *Enable agricultural SMEs or producer organisations to be investment ready*:

- Provide training in financial literacy to the management;
- Organise exchanges so that learnings from other geographies or sectors are captured when developing an investment proposal;
- Install capacity (or provide ad hoc support) to develop the business plan, financial forecasting, sensitivity analyses;
- Financial feasibility studies, market studies, due diligence reports;
- Other business development services.

B) *Help de-risk deals*:

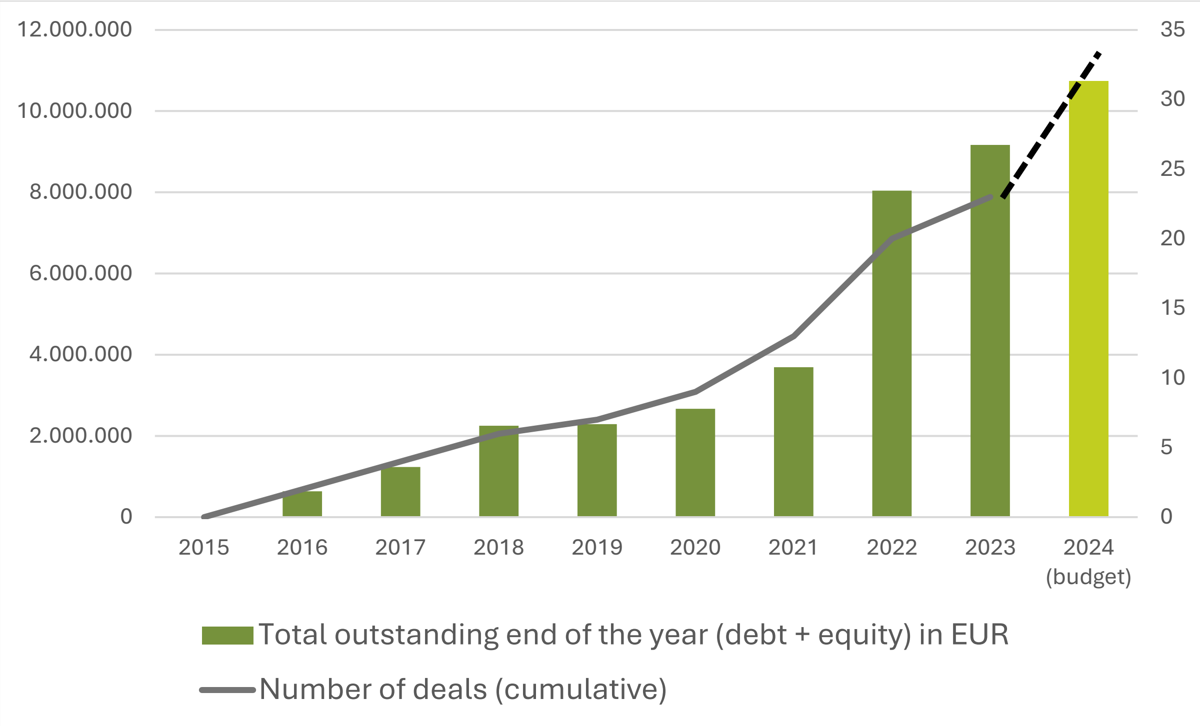
- Hedging of the FX-risk with local currencies;
- Taking out a political risk via an insurance;
- Giving access to different certifications schemes, targeting sustainability (including but not limited to organic and Fairtrade), and food safety and traceability;
- Management training in terms of governance issues, financial management, HR management, strategic planning, setting up of information management systems, etc.

C) *Establish a first loss tranche.*

Impact Report: Portfolio's evolution and overview

The data and figures below illustrate and underscore the important catalytic effect of the subsidy. Both in terms of scaling the size of Kampani as well as in terms of scaling our impact.

Since benefiting from the financial support of the DGD in 2021, Kampani's growth has been accelerating. While Kampani closed only 12 deals in the first 7 years, we closed another 12 (and 4 add on investments) since 2021. We expect to close an *additional* 7 deals before the end of the year (more data on Kampani's portfolio are to be found in the annex).



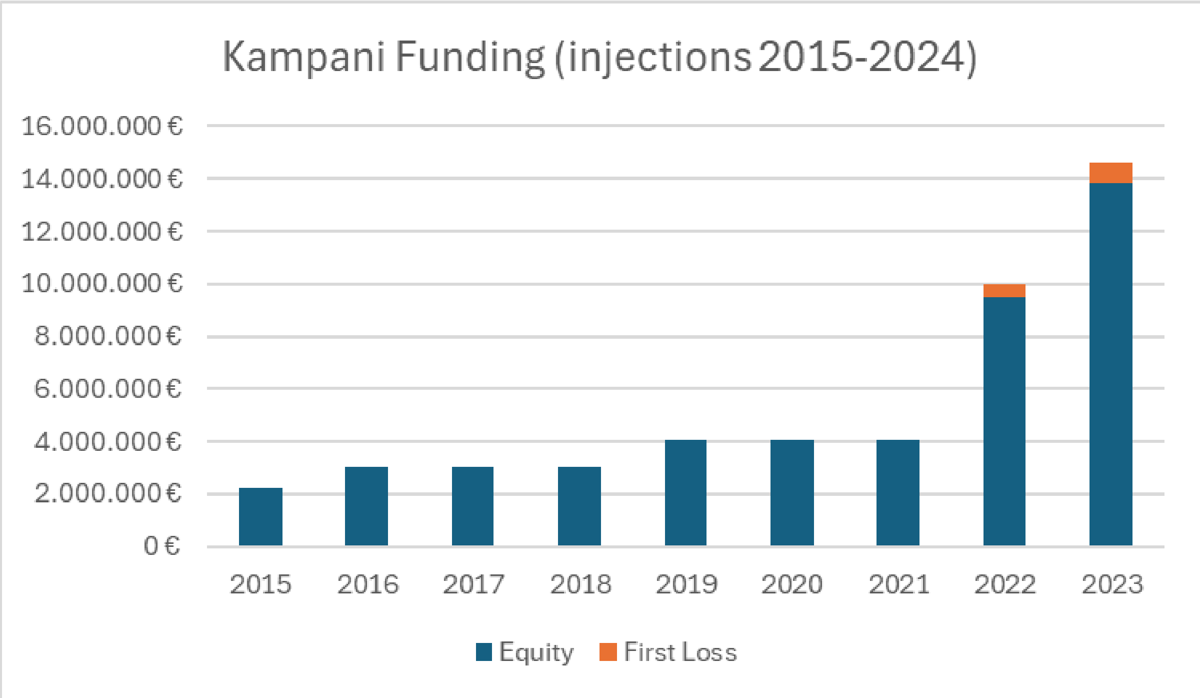
By the end of 2023, through our investments, we *directly* reached 94,189 farmers, an increase of 27% compared to the previous year. Importantly, we observed **that our clients' revenues grew by an 48%, on average, each year,** since Kampani first invested in the business[1]. While this growth is certainly generated by other factors as well, it makes us confident that Kampani's investment strategy works. We have successfully unlocked growth for organized smallholder farmers in some of the most remote and poor places in the world. We have contributed heavily to the professionalization of our clients, investing in ways and places that others stay away from.

[1] by calculating the average increase in annual sales in local currency of each of our investees since Kampani first invested in the company.

This acceleration did not come at the cost of quality. Our portfolio has continued to score very high in terms of defaults or write-offs.
Of note is also that we signed an MoU with Enabel earlier this year, to officialise and reinforce existing collaborations that had materialized in several partner countries, especially Benin and Ivory Coast.

Impact report: fundraising and evolution of Kampani's shareholdership

In 2023, Kampani's successfully raised €4.6 million, bringing the fund size from 10 to €14.6 million and have allowed the exit of two of our first investors. We were able to attract new investors, from Belgium but also from the Netherlands, Germany and even from El Salvador. The latter concerns a consortium representing fairtrade cooperatives from the global South, CLAC. Especially this last investment, by CLAC, is a testament to how additional Kampani is to cooperatives. CLAC has not invested in any other fund, nor is it planning to.



The first loss tranche (representing 5% of our capital), established thanks to the DGD subsidies, played a crucial role in attracting additional investors over the last two capital rounds (in 2022 and again in 2023). Indeed, this innovative mechanism, because it covers potential losses for the shareholders, allowed the fund to attract more risk-averse capital, even reaching new geographies. This greatly demonstrates how blended finance, here the combination of public and private capital, can pave the way for additional investments that could otherwise be considered too risky for commercial capital. Simply put, the first loss tranche played **a highly catalytic role in Kampani's growth. For every euro DGD invested, we raised approximately an additional 11 euro.**

Another way of presenting the acceleration is by looking at the evolution of Kampani's balance sheet:

BALANCE SHEET IN EURO	2022	2023
Fixed Assets	**394,719**	**293,490**
Financial Fixed Assets	394,719	293,490
Current Assets	**8,446,425**	**8,846,410**
Credit Portfolio	6,085,618	7,271,836
Cash and Cash Equivalents	744,742	584,570
Other Accounts Receivable	1,279,183	560,947
Transitory Accounts	336,883	429,058
Total Assets	**8,841,144**	**9,139,900**
Equity	**8,588,536**	**9,099,617**
Other Subscribed Capital	9,507,600	13,847,490
Uncalled Capital	0	-3,604,865
First Loss Tranche	500,000	800,000
Accumulated Results	-1,419,064	-1,943,008
Liabilities	**252,608**	**40,283**
Long Term Liabilities (>1 year)	0	0
Short Term Liabilities (<1 year)	65,275	40,283
Transitory Accounts	187,333	0
Total liabilities and Equity	**8,841,144**	**9,139,900**

Use of DGD subsidies

Below, we detail how the subsidy has been used, thus far, broken down per category:

A) Enable agricultural SMEs or producer organisations to be investment ready: 79.196,90 EUR

B) Help de-risk deals: 22.370,02 EUR

C) Establish a first loss tranche: 800.673,00 EUR

This means that as of 23 October, a total of 902,239.92 EUR were spent for the project's objectives. 720,000.00 EUR of this amount are covered by the portion of the DGD grant already disbursed to Kampani (a first tranche of 450,000 EUR in 2021 and second tranche of 270,000 EUR in 2023).
In 2024, Kampani advanced 182,239.92 EUR for the finalisation of the project, in particular for the replenishment of the first loss tranche.
180,000 EUR of this amount will be borne by the final tranche of the DGD grant. The balance of 2,239.92 EUR will be borne by Kampani.

Please see the enclosed document for further details.

Ambitions and future perspectives

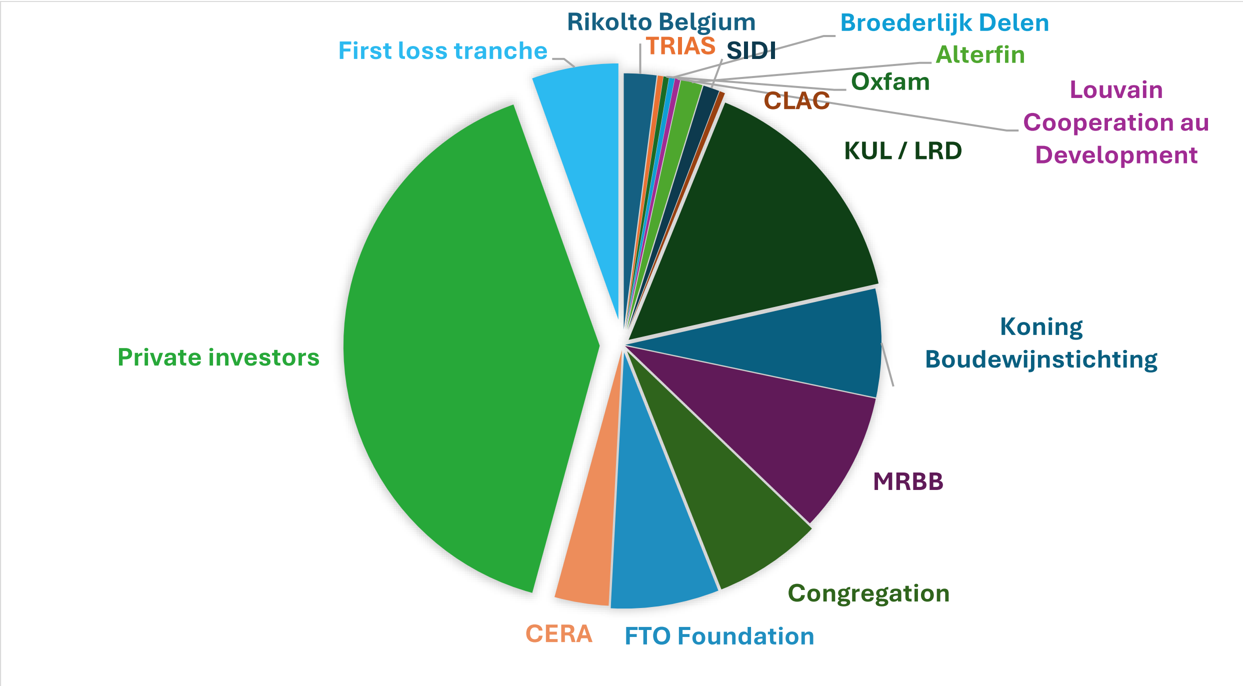
With an ever-increasing demand for the type of capital Kampani offers, a growing number of partnerships and continuous interest from international organisations and investors, Kampani has expanded its growth ambitions. Essentially, and based on strategic discussions at board level, we wish to further scale our model. Our new target is to reach a fund size of €30 million, which would correspond to approximately 90 deals when fully invested. These ambitions have of course implications: building a larger network of NGOs, raising additional funds, managing a growing portfolio which entails significant monitoring costs… Increasing further our first loss tranche will also be essential to adequately de-risk our portfolio as we keep growing.

Concretely, Kampani has promising new partnership perspectives. BIO approved in principle on 2 September an investment in Kampani of 2M EUR. We have therefore entered into the final phase, the contracting phase, with BIO. We are also in discussions with Inpulse and ICA (International Cooperative Alliance) to implement a joint initiative, GCI (Global Cooperative Impact Fund) and improve access to adapted funding for the rural South by leveraging our means and networks. In other words, Kampani's growth continues to accelerate. With a growing team with diverse backgrounds and a strong network of advisors and experts with skin in the game, we are confident that the coming years will be filled with more exciting developments for Kampani.

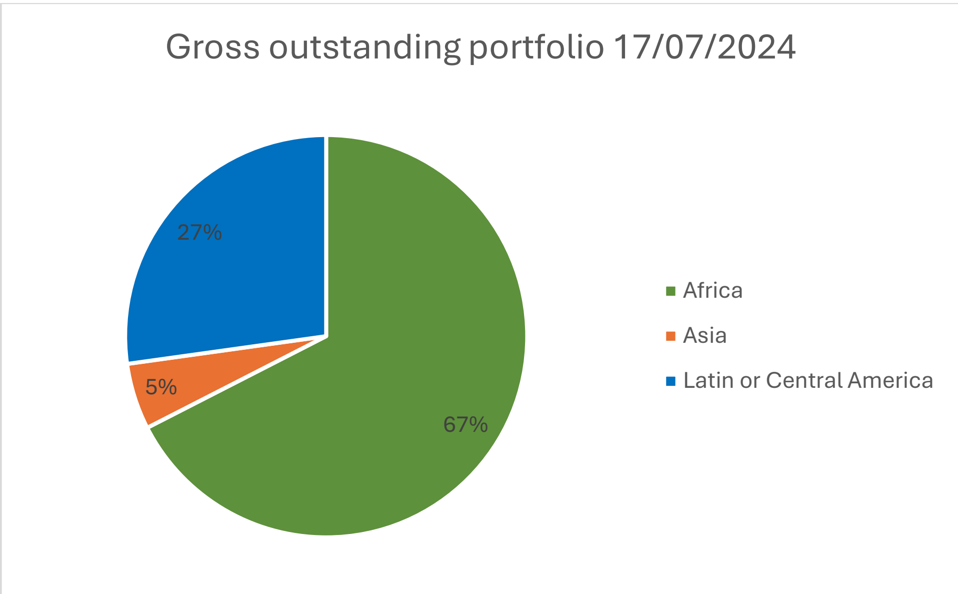
Kampani is a truly Belgian product, that offers a peculiar tool, for which demand is high and increasing. The DGD subsidies allowed to leverage additional private money and have been instrumental in supporting this impactful project at a crucial time in its development. As the field of impact investing continues to expand, the time is right to build upon innovative insights. Pioneering fund models have the potential to tilt this burgeoning field towards more social impact in riskier contexts.

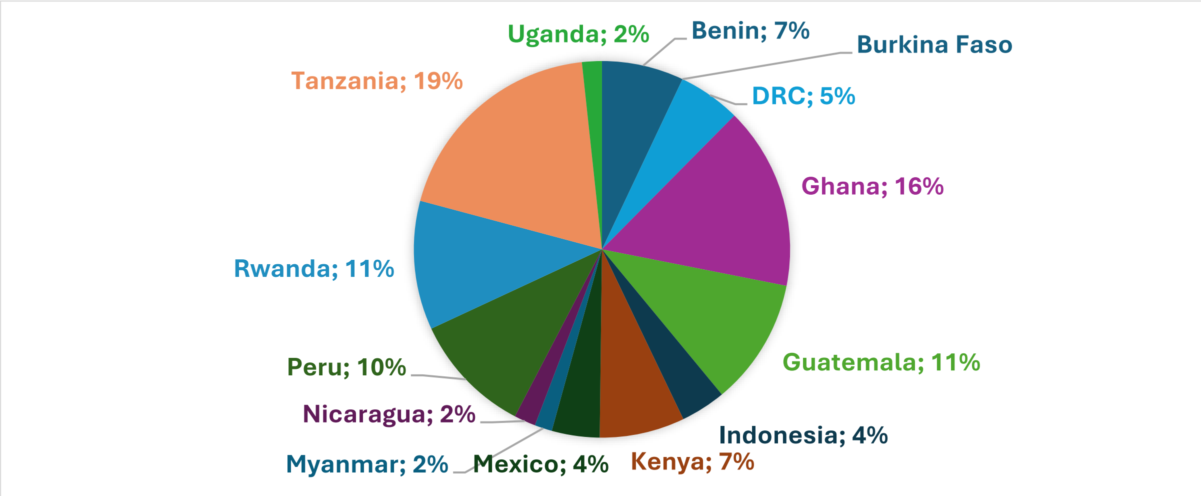
Annexes

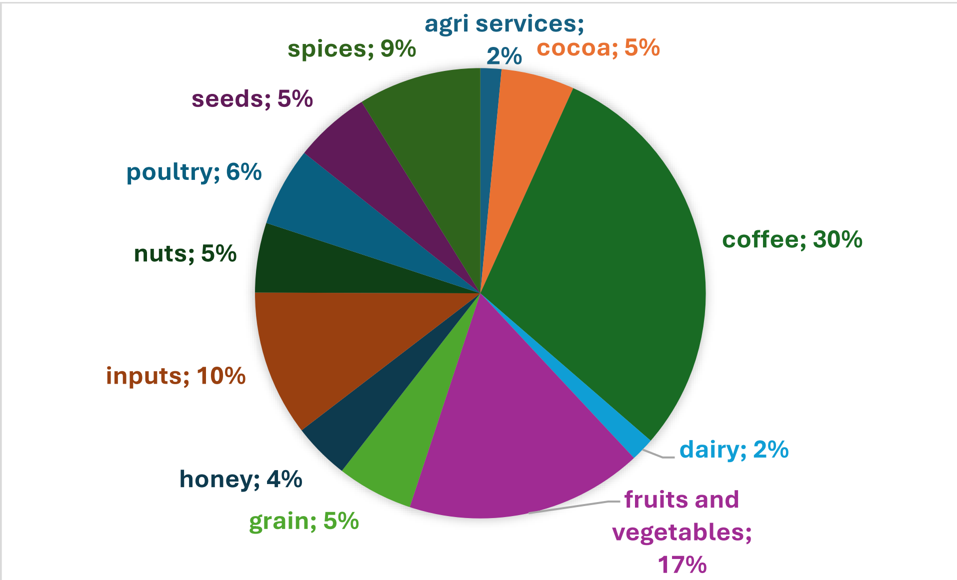
Shareholdership after 2023 Capital increase



Figures Portfolio – as of July 2024




Uganda; 2%
Benin; 7%
Burkina Faso
Tanzania; 19%
DRC; 5%
Ghana; 16%
Rwanda; 11%
Guatemala; 11%
Peru; 10%
Nicaragua; 2%
Indonesia; 4%
Myanmar; 2%
Mexico; 4%
Kenya; 7%


agri services; 2%
spices; 9%
cocoa; 5%
seeds; 5%
poultry; 6%
coffee; 30%
nuts; 5%
inputs; 10%
dairy; 2%
honey; 4%
fruits and vegetables; 17%
grain; 5%